

Management Report

Mercedes
IndusMoney

Code: 17C1

for **Group 7** **Company 6**

PLEASE CHECK ...

your decisions

Year 2018 Qtr 2

Advertising: (€'000)

	Corporate	Product 1	Product 2	Product 3
Europe	22	6	5	4
Nafta	12	2	1	1
Internet	17	2	1	1

Prices (€):

Europe	300	450	650
Nafta	310	490	640
Internet	290	525	790

Quantities to deliver to:

European agents	418	367	211
(Not in full Nafta distributors	90	86	59
if starred) Internet distributor	0	0	0

Quality:

Take up product improvements	0	0	0
Product development (€'000)	11	31	13
Assembly times (minutes)	112	168	336
Premium materials (%)	2	4	4

Subcontracting:

Components to order (units)	50	30	20
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Agents and distributors:

European agents
Nafta distributors
Internet distributor

Number needed
3
1

Support (€'000)
9
5
15

Commn. %
7
6
5

Operations:

Materials to buy ('000) Spot
Maintenance hours/machine
Number of ports operated

21
10
10

3mth 1 6mth
Shift level
Web-site development

0
1
0

Personnel:

Assembly workers to recruit
Hourly wage rate (€c)
Management budget (€'000)

5 *
13,00
75 *

Number to train

0

Staff training (days)

50

Finance:

Shares to issue/repurchase
Term loans (€'000)
Machines to buy
Factory extension (sq. m.)

0
0
0
275

Dividend (cents/share)
Term deposit (€'000)
Machines to sell
Insurance plan

0 *
0 *
0
0

Information:

Market shares

1

Corporate activity

1

PHYSICAL RESOURCES: Usage and availability		HUMAN RESOURCES:			PRODUCT DATA:	Product 1	Product 2	Product 3
Space:	Sq. m.	Production personnel:	Assembly	Machining	Quantities:			
Land owned	1000	At start of last quarter	19	25	Scheduled	508	453	270
Access/parking etc	200	Recruited	4	0	Produced	522	465	277
Unused land	0	Trained	0	0	Rejected	14	12	7
Factory size next quarter	800	Dismissed	0	0	Lost or destroyed	0	0	0
Circulation and access	200	Left	7	2	Delivered to:			
Machining operations	150	Available for next quarter	16	23	European agents	418	367	211
Assembly operations	160	Assembly workers:			Nafta distributors	90	86	59
Material and component stocks	207	Hours available		10944	Internet distributor	0	0	0
Available space (overflow if negative)	83	Absenteeism/sickness (hours)		108	Orders from:			
Machines:	Number	Hours worked		3827	Europe	612	418	251
Number decommissioned	0	Notice of strike weeks for next quarter		2	Nafta	79	41	41
Machines in use last quarter	6				Internet	426	152	82
Number bought and installed	0				Sold to:			
Machines available for next quarter	6				Europe	418	367	211
					Nafta	90	69	59
Theoretical hours available	3456				Internet	0	0	0
Hours breakdown	2				Backlog of orders:			
Hours worked	1541	Agents/distributors:	Europe	Nafta	Europe	280	186	112
Hours planned maintenance	58	Active last quarter	3	1	Nafta	9	0	0
Average machine efficiency %	99,2	Resigned	0	0	Warehouse stocks:			
		Dismissed	0	0	Europe	0	0	0
Materials:		Appointed	0	0	Nafta	0	17	0
Opening stock available	21181	Active next quarter	3	1	Internet	0	0	0
Bought spot	21073				Guarantee services	19	43	8
Bought default	0	Transport:	Europe	Nafta	Product improvements	Minor	Minor	Major
Lost or destroyed	0	Journey length (km)	1381	500	Product components:			
Used	2113	Number of loads	4	1	Assembled last quarter	50	30	20
Closing stock	40141				Ordered last quarter	50	30	20
For delivery next quarter:		Carbon footprint (CO2e):		Tonnes	Closing stock	0	0	0
Bought last quarter	1000	Factory heating and lighting		7,60	Available for assembly	50	30	20
Bought quarter before last	1000	Energy used in production		6,80				
For delivery quarter after next:	0	Total primary CO2e		14,40				
Internet statistics:								
Number of web-site ports operated	16							
Number of visits to your web-site	32467							
Estimated level of failed visits (%)	0							
Number of internet service complaints	0							

FINANCIAL STATEMENTS							
ADMINISTRATIVE EXPENSES	€	INCOME STATEMENT	€	BALANCE SHEET	€	CASH FLOW STATEMENT	€
Advertising	74000	Sales revenue	529530	Non-current assets:		Operating activities:	
Internet distributor	15000			Land	50000	Trading receipts	264974
Internet service provider	16000	Opening inventory values	1201907	Buildings	400000	Insurance receipts	0
Agents and distributors	81406	Components purchased	18990	Machinery	1538110	Trading payments	1792892
Sales office	8737	Materials purchased	1452750	Property, plant and equipment	1988110	Tax paid	0
Guarantee servicing	8427	Machine running costs	47059			Net cash flow from operations	-1527918
Product development	55000	Machinists wages	76050	Current assets:		Investing activities:	
Web-site development	0	Assembly wages	57798	Product inventories	3740	Interest received	0
Personnel department	60000	Quality control	1264	Component inventories	18990	Asset sales	0
Machine maintenance	5100	Hired transport	19700	Materials inventory	2275022	Assets purchased	137500
Purchasing and warehousing	16502	Less closing inventory values	2297752	Trade receivables	375306	Net cash flow from investing	-137500
Business intelligence	12500	Cost of sales	577766	Cash and cash equivalents	0		
Credit control	1214	Gross profit	-48236	Current assets	2673058	Financing activities:	
Insurance premiums	0	Administrative expenses	439961	Total assets	4661168	Shares issued	0
Management salaries	75000	Insurance receipts	0			Shares repurchased	0
Other costs	11075	Depreciation	39438	Liabilities:		Dividends paid	0
Total administrative expenses	439961	Operating profit/loss	-527635	Tax due	0	Additional loans	0
Accumulated taxable profit:		Finance income	0	Trade payables	864599	Interest paid	30824
Profit/loss before tax	-558459	Finance expense	30824	Bank overdraft	1401318	Net cash flow from financing	-30824
Previous taxable profit/loss	-1546290	Profit/loss before tax	-558459	Current liabilities	2265917		
Taxable profit/loss	-2104749	Tax assessed	0	Term loans	500000	Net cash flow	-1696242
		Profit/loss for the period	-558459			Previous cash balance	294924
		Earnings per share (cents)	-13,96	Net assets	1895251	Cash balance	-1401318
				Equity:		(including a term deposit of -	0)
Insurance claimed	0	Dividends paid	0	Share capital	4000000	Overdraft limit for next quarter	847000
Primary non-insured risk	3091955	Transferred to retained earnings	-558459	Share premium account	0	Borrowing power next quarter	0
		Previous retained earnings	-1546290	Retained earnings	-2104749		
		Retained earnings	-2104749	Total equity	1895251		

ECONOMIC INTELLIGENCE

	Europe	Nafta	Rest (of developed world)
Gross domestic product (de-seasonalised)	4274	4391	6277
% Unemployment rate (de-seasonalised)	8,4	4,5	
Balance of external trade	1863	1883	

Information about next quarter:

Central Bank base rate (% p.a.)	0,5	1,1	Exchange rate in € per \$ (USD)	0,84
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Building cost (€ per square metre)	500
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Component cost (€ per unit)	Product 1	Product 2	Product 3
from (no premium materials)	125	206	317
to (100% premium materials)	158	272	416

Material prices (\$ per '000 units)	Spot price	3 month	6 month
	78498	75378	71410

BUSINESS REPORT:

Concerns are being expressed that money tightening both in the US an Europe will create a financial crisis. Indicators of such a crisis are already showing in Asia and North America.

FREE INFORMATION

	Company 1	Company 2	Company 3	Company 4	Company 5	Company 6	Company 7	Company 8
Stock market data:								
Share price (cents)	131,96	68,07	94,93	87,2	72,39	35,99	102,46	103,59
Market valuation (€)	5225616	2722800	3797200	3836800	2895600	1439600	4508240	4143600
Dividend paid (cents/share)	0	0	0	0	0	0	0	0
Investment performance (€)	5259289	2722800	3797200	3416602	2895600	1439600	4088042	4143600
Business intelligence:								
Product prices (€)								
Product 1: Europe	410	325	370	310	345	300	339	335
Nafta	390	325	420	310	350	310	333	390
Internet	400	325	455	310	340	290	351	490
Product 2: Europe	590	515	550	505	530	450	350	510
Nafta	590	515	600	505	540	490	533	565
Internet	590	535	700	505	520	525	530	725
Product 3: Europe	885	750	800	825	785	650	782	750
Nafta	850	750	830	825	795	640	791	830
Internet	900	880	970	825	780	790	883	999
Production employees	56	56	81	54	68	44	75	69
Assembly wage rate (cents/hr)	1200	1200	1230	1200	1200	1300	1280	1220
Number of agents/distributors	11	7	12	11	5	4	10	8

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COMPANY BALANCE SHEETS

for Company:

	1	2	3	4	5	6	7	8
Assets								
Property, plant and equipment	1919898	2161340	1407734	1417734	1830980	1988110	1417734	1417234
Inventories	2576890	1451736	834990	2694945	1616952	2297752	1136904	528626
Trade receivables	1869209	928391	1285631	1823200	759916	375306	1517211	1173543
Cash and cash equivalents	1150000	1260000	1150000	1150000	1170000	0	1018419	1210760
Liabilities								
Tax assessed and due	0	0	0	0	0	0	0	0
Trade payables	1203021	529170	374801	1148312	877845	864599	960796	457373
Bank overdraft	1588897	2196026	503842	2364452	1353856	1401318	0	0
Long term loans	0	0	0	0	0	500000	0	0
Equity								
Ordinary capital	3960000	4000000	4000000	4400000	4000000	4000000	4400000	4000000
Share premium account	4852	0	0	17480	0	0	17480	0
Retained earnings	759227	-923729	-200288	-844365	-853853	-2104749	-288008	-127210
Net Worth	4724079	3076271	3799712	3573115	3146147	1895251	4129472	3872790

PURCHASED INFORMATION

Company number:

	1	2	3	4	5	6	7	8
Market shares (% by volume sold)								
Product 1: Europe	7,6	5,1	6,2	11,8	3,1	2,0	7,8	6,1
Nafta	6,4	1,7	1,7	14,1	2,2	0,8	8,1	1,4
Internet	12,3	1,8	2,7	18,0	2,3	0,0	13,0	4,1
Product 2: Europe	9,3	3,8	8,3	7,5	4,7	3,7	8,2	8,5
Nafta	8,2	2,1	4,7	8,7	3,6	1,3	7,2	3,9
Internet	13,7	2,7	3,7	11,0	3,0	0,0	14,4	7,5
Product 3: Europe	10,6	7,0	10,0	5,6	6,1	4,7	6,4	11,0
Nafta	9,7	3,2	7,4	7,3	4,3	2,5	8,9	6,3
Internet	14,4	3,2	5,6	10,1	3,1	0,0	11,4	12,9

Competitors' business activity

Company number:

	1	2	3	4	5	6	7	8
Total advertising expenditure (€)	299000	48000	153000	297000	78000	74000	380000	255000
Total product development (€)	55000	95000	70000	55000	90000	55000	55000	114000
Consumer star ratings:								
Product 1	*****	**	***	*****	**	**	*****	***
Product 2	****	***	**	****	**	**	***	***
Product 3	***	***	**	***	**	**	**	***
Web-site	****	**	***	****	***	*	****	****

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